EXECUTIVE SUMMARY

I. Introduction

Faire was founded on November 27, 1897 and got its name in honor of its founder, Captain Miguel Faire by virtue of Executive Order No. 2390 dated February 28, 1932. Sometime in December of 1971, during the incumbency of then Mayor Leandro Pagurayan, a resolution was passed changing the name Faire to Sto. Niño.

The Commission on Audit has adopted a risk-based audit approach that aligns the audit process more closely with the government's needs to improve the governance structure of agencies, particularly in the area of financial reporting; provides the users of the financial statements a higher level of assurance that agency's processes are designed and operating effectively; enables auditors to check compliance of agency with laws, rules and regulations and determine whether related compliance risks are properly addressed; strengthens accountability in the agencies; and recommends value-added deliverables and measures to improve the efficiency and effectiveness of government operations noted in the course of the financial audit.

II. Scope and Objective of the Audit

The audit covered the accounts and operations of the Municipality of Sto. Niño, Cagayan for CY 2025 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

III. Financial Highlights

The highlights of the financial position, financial performance, appropriations, allotments and obligations of the Municipality for the year ended December 31, 2025, with comparative figures for CY 2024, are as follows:

Accounts	2025	2024	Increase (Decrease)
Financial Position			
Total Assets	₱ 863,136,703.46	₱ 797,326,569.63	₱ 65,810,133.83
Total Liabilities	₱ 148,517,585.16	₱ 147,976,609.16	₱ 540,976.00
Total Government Equity	₱ 714,619,118.30	₱ 649,349,960.47	₱ 65,269,157.83
Financial Performance			
Total Income	₱ 298,648,712.98	₱ 254,556,078.94	₱ 44,092,634.04
Total Expenses	₱ 271,727,306.22	₱ 199,565,954.55	₱ 72,161,351.67

Appropriations, Allotments and Obligations			
Total Appropriations – Current	₱ 332,286,397.00	₱ 225,663,150.66	₱ 106,623,246.34
Total Obligations – Current	₱ 301,955,827.28	₱ 190,988,561.82	₱ 110,967,265.46
Total Appropriations – Continuing	₱ 95,153,908.92	₱ 106,799,028.94	₱ (11,645,120.02)
Total Obligations - Continuing	₱ 51,614,817.98	₱ 28,062,801.31	₱ 23,552,016.67

The table below presents the fund transfers received by the Municipality from other Agencies totaling ₱48,802,300.00, with comparative figures for CY 2024. There were no funds transferred to other Agencies during the year.

Particulars	2025	2024	Increase (Decrease)
Funds Received from:			
National Government Agencies (NGAs)	₱ 48,802,300.00	₱ 18,878,600.00	₱ 29,923,700.00
Total	**₱ 48,802,300.00**	**₱ 18,878,600.00**	**₱ 29,923,700.00**

IV. Operational Highlights

The Municipality of Sto. Niño, Cagayan is headed by the Municipal Mayor, Honorable Andrew Vincent R. Pagurayan, and Vice-Mayor, Honorable Vicente G. Pagurayan. For CY 2025, the Municipality had a total of 378 personnel complement, consisting of 144 permanent, 12 elective, 2 co-terminus, 1 contract of service and 219 job order status.

The LGU had accomplished the following developmental projects in Calendar Year 2025, to wit:

Name of Projects	Amount
Construction of Dungao Potable Water System	₱ 2,000,000.00
Rehabilitation of Municipal Road	4,000,000.00
Improvement of Niug Norte-Sta. Felicitas Road	5,000,000.00
Completion of Municipal Evacuation Center	2,650,000.00
Installation of Perimeter Streetlights	800,000.00
Upgrading of Lubo-Balanni Road	5,000,000.00
Regravelling/Reshaping of Mabitbitnong-Palusao Road	3,000,000.00
Improvement of Balagan-Abariongan Ruar Road	5,000,000.00
Completion of Balagan Covered Court	1,500,000.00
Construction of Virginia Covered Court P-III	1,000,000.00
Completion of Sidiran Evacuation Center	2,000,000.00
Rehabilitation of SLF Cell & Leachate Pond	674,088.27
Reshaping/Regravelling of Barangay Road	3,000,000.00
Construction of Calassitan Multi-Purpose Building Phase II	600,000.00
Construction of Tabang Water System Elevated Reservoir Phase -I	1,000,000.00
Construction of Municipal Main Hall Building Phase II	10,000,000.00
Regravelling/Reshaping of Lagum Road	1,500,000.00
Road Opening of Sta. Felicitas - Tamucco Road	5,000,000.00
Construction of Open Market Stalls for Mobile Dry Goods Vendors	3,000,000.00
Construction of Market Stalls	3,000,000.00

Name of Projects	Amount
Construction of Grains Warehouse	3,000,000.00
Construction of Footbridge	1,221,000.00
Upgrading of Farm-to-Market Road	2,500,000.00
Installation of Electric Service Transformer	853,814.30
Completion of Mabitbitnong Covered Court	500,000.00
Construction of Retaining Wall along SLF Descent Road	1,000,000.00
Total	**₱ 68,798,902.57**

V. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the fair presentation of the financial statements of the Municipality of Sto. Niño, Cagayan for the year-ended December 31, 2025, due to: (a) a discrepancy of ₱31.588 million between the book and bank balances of the Cash in Bank-Local Currency, Current Account; (b) a discrepancy between the balances of reciprocal accounts Due from Other Funds and Due to Other Funds amounting to ₱47.637 million; (c) unreconciled PPE balances between accounting and property records amounting to ₱202.242 million; and (d) unreconciled balance of Trust Liabilities-Disaster Risk Reduction and Management Fund accounts amounting to ₱2.360 million.

VI. Summary of Significant Observations and Recommendations

The significant audit observations and recommendations for CY 2025 other than the bases for the modified opinion that need immediate attention and action by the Municipality of Sto. Niño, Cagayan are as follows:

1. **The Municipality was not able to submit copies of contracts and/or purchase orders within the prescribed period of five (5) working days from their execution or issuance, thereby precluding the timely auditorial and technical review of the procurement transactions and hindering the prompt detection and correction of potential deficiencies, if any.**

   We recommended that the Management instruct the Municipal General Services Officer, Human Resource Management Officer and Municipal Accountant to submit copies of contracts, including Contracts of Service and purchase orders, along with all documents forming part thereof, within five (5) working days from execution or issuance, in strict compliance with COA Circular No. 2009-001 dated February 12, 2009.

2. **The Municipality did not require its contractors to post the mandatory Warranty Security upon the issuance of the Certificate of Final Acceptance for CY 2025 infrastructure projects, thereby exposing public funds and completed infrastructure projects to potential financial risks from structural defects or failures occurring after the projects' final acceptance.**

We recommended that the Management require the contractors to post Warranty Security prior to the issuance of Certificate of Final Acceptance, in compliance with Section 62.2.3.3 of the Revised IRR of Republic Act No. 9184, to ensure financial recourse and protect public funds and infrastructure integrity against post-acceptance structural defects or failures.

3. **Unliquidated cash advances remained long outstanding due to the Municipality's failure to enforce timely liquidation and institute measures to compel settlement, such as the withholding of salaries and other amounts due to the concerned officers and employees, thereby exposing public funds to the risk of possible misappropriation and affecting the reliability of the Advances to Officers and Employees account.**

   We recommended that the Management:

   A. Require all concerned officers and employees to immediately liquidate their outstanding cash advances and submit the necessary supporting documents; and

   B. In case of non-compliance with the foregoing, strictly enforce the withholding of salaries and other amounts due to the concerned officers and employees, until full settlement is made, in accordance with Item 5.1.3 of Commission on Audit Circular No. 97-002.

4. **Disbursements totaling to ₱1.997 million were made on reimbursement basis, instead of direct payment to suppliers/creditors, resulting in the non-withholding of the applicable taxes due thereon and may have prevented the government from securing the most advantageous price.**

   We recommended that the Management:

   A. Submit justification as to why reimbursement method was resorted to despite the absence of contingencies and, henceforth, stop the practice of paying regular expenses through reimbursement to individual officials and employees;

   B. Study and adopt measures to minimize, if not eliminate, disbursements paid on a reimbursement basis to ensure the collection of withholding taxes from contractors and suppliers; and

   C. Strictly adhere to the appropriate modes of procurement and consistently comply with the procedures prescribed under the Procurement Law and its IRR, to uphold the principles of transparency and accountability, while ensuring that the Agency obtains the most advantageous price and terms in all its procurement undertakings.

VII. Summary of Total Suspensions, Disallowances and Charges

The status of suspensions, disallowances and charges as of December 31, 2025 is summarized as follows:

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions	₱ 5,540,377.58	-	-	₱ 5,540,377.58	0%
Disallowances	4,233,556.04	-	-	4,233,556.04	0%
Charges	-	-	-	-	0%
Total	**₱ 9,773,933.62**	-	-	**₱ 9,773,933.62**	

VIII. Status of Implementation of Prior Year's Audit Recommendations

The status of implementation of prior year's audit recommendations embodied in the CY 2024 Annual Audit Report are summarized as follows:

Status of Implementation	Number
Implemented	5
Not Implemented	6
Not Implemented and Reiterated in Part II of CY 2025 AAR	9
Total	**20**